

1.

CASE #	CASE NAME	HEARING NAME
CVME2606826	CITY OF MURRIETA VS WALFORD	PETITION FOR ORDER TO ABATE SUBSTANDARD BUILDING AND APPOINTMENT OF RECEIVER

Tentative Ruling: Deny the Petition. City has not met its burden to show that the property substantially endangers the health and safety of residents or the public such that the drastic remedy of a receivership is warranted.

The City asserts a petition to appoint receiver against Ninik Walford (“Walford”), Arnold Anton Muntu (“Muntu”), Mathias Ende (“Ende”), Impac Mortgage Corp., Mortgage Electronic Registration Systems, Inc. (“Mortgage Electronic”), First National Bank of Omaha, and Citibank, N.A.

The petition concerns a parcel of real property located at 29184 Via Princesa, Murrieta, California (“subject property”), which is a mobile home. Specifically, the petition concerns an approximately 120 square foot, detached structure that City alleges is an unpermitted living space, consisting of “...unpermitted electrical, plumbing, and patio cover installations that do not meet setback requirements.” (the “Unpermitted Construction”; see Petition p. 3:18-23; Declaration of David Chessman, ¶ 2.)

By way of factual background, on 6/15/2023, City received a complaint concerning possible unpermitted construction at the subject property. (Chessman Decl., ¶ 3.) On 6/21/2023, Code Enforcement Officer Heather Riley inspected the property and, “The inspection revealed a detached structure under the carport containing a window and possible electrical outlets.” (*Id.* at ¶ 4, Exhibit F.)

The subject property is owned by Walford and Muntu, as husband and wife. (Petition, ¶ 2.) On 6/23/2023, Officer Riley, with Walford present, conducted a full inspection and “...observed unpermitted plumbing, electrical, and a patio cover, as well as setback violations. (Chessman Decl., ¶ 6, Exhibit H.) At that time, the Unpermitted Construction was being rented to and occupied by a tenant, Ende. (*Id.*) The tenant later contacted the City and reported instances of electrical failures, ceiling boys, gaps, leaks and mold. (*Id.* at ¶ 7.)

On 5/31/2024, Officer Chessman conducted another inspection and “...informed [Muntu] that the Unpermitted Construction was approximately 2-feet from the property line in violation of the City’s 5-foot setback requirement.” (*Id.* at ¶ 21.) At a subsequent inspection, the City determined that the Unpermitted Construction did not qualify as an ADU because it did not contain a kitchen. (*Id.* at ¶ 24, Exhibit X.)

The City issued multiple notices and requests for correction. Walford and Muntu have indicated desire to comply, but a lack of funds to hire a contractor due to various reasons (including an alleged judgment against Walford and Muntu by former tenant Ende), have led to an impasse. City states in the petition that it has repeatedly given Walford and Muntu extensions and chances to submit plans and/or obtain permits to bring the Unpermitted Construction into compliance, without resolution.

Now, City moves to appoint a receiver pursuant to California Health and Safety Code §§ 17980.6 and 17980.7(c). Specifically, the City seeks to appoint Richardson C. Griswold (“Griswold”) as receiver to “bring the Subject Property into full compliance with the law.” The City also seeks attorneys’ fees and costs.

In opposition, Mortgage Electronic states that City has not established entitlement to the drastic remedy of a receiver without first exploring other legal remedies, such as an injunction.

In separate answers, Walford and Muntu request permission under Government Code § 66332 to be granted permits to add a kitchen so the Unpermitted Construction can be considered an ADU. They also mention being unable to afford the costs of full abatement and that they may have to sell the house, becoming homeless, in order to pay for the costs if the City is granted their full request.

Health & Safety Code §17980.6 provides that “[i]f any building is maintained in a manner that violates any provisions of this part, the building standards published in the State Building Standards Code relating to the provisions of this part, any other rule or regulation adopted pursuant to the provisions of this part, or any provision in a local ordinance that is similar to a provision in this part, and the violations are so extensive and of such a nature that the health and safety of residents or the public is substantially endangered, the enforcement agency may issue an order or notice to repair or abate pursuant to this part.” If an owner does not comply in a reasonable time with the terms of an order issued under Health and Safety Code §17980.6, “[t]he enforcement agency, tenant, or tenant association or organization may seek and the court may order, the appointment of a receiver for the substandard building pursuant to this subdivision.” (Health & Safety Code §17980.7(c); *see also City of Desert Hot Springs v. Valenti* (“*Valenti*”) (2019) 43 Cal.App.5th 788, 793-94.)

When determining whether to order a receiver under this code section, the court is to consider whether the owner has been given a reasonable opportunity to correct the code violations and the capacity and expertise of the receiver to develop and supervise a viable construction plan. (Health & Safety Code §17980.7(c)(1)(2).) The appointment of a receiver is a drastic remedy that should not be done unless it is absolutely essential and no other remedy will do the job. (*City & County of San Francisco v. Daley* (1993) 16 Cal.App.4th 734, 745; *but see City of Crescent City v. Reddy* (2017) 9 Cal.App.5th 458, 467 [“The Legislature presumably concluded in Health & Saf. Code § 17980.6] that uncorrected substandard building conditions present a sufficient danger to justify appointment of a receiver without regard to less invasive alternatives”].) The appointment of a receiver rests within the direction of the trial court and will only be reversed if there is a clear showing of an abuse of discretion. (*Valenti, supra*, 43 Cal.App.5th at 793.)

The City does not make a showing that the property is in such a dilapidated and dangerous condition that the drastic remedy of appointing a receiver is warranted. The initial inspection by Officer Riley on 6/23/2023, states she “observed unpermitted plumbing, electrical, and a patio cover, as well as setback violations.” (Chessman Decl. ¶ 6.) The corresponding courtesy notice only notes “unpermitted construction” and the photographs don’t show a dilapidated or dangerous property. (*Id.* at Exhibits I and H.)

The Chessman Declaration indicates that Officer Riley was “contacted by the then-current tenant” who indicated electrical and structural failures, ceiling bows, gaps, leaks and mold.” (*Id.* at ¶ 7.) City does not provide any evidence of this communication which amounts to hearsay within hearsay given the declaration is by Officer Chessman. (*Id.* at ¶ 7.) The 6/26/2023 Instigative Inspection Notice again only references unpermitted additions, but not any dangerous conditions. (*Id.* at Exhibit J.)

Officer Chessman conducted another inspection on 5/31/2024 and only notes that he found the Unpermitted Construction, “...was approximately 2-feet from the property line in violation of the City’s 5-foot setback requirement.” (*Id.* at ¶ 21.) Officer Chessman does not note any dilapidated or dangerous conditions – just a setback issue.

Based on the evidence submitted by the City, the most recent inspection, conducted on 7/2/2024 by Officer Chessman and Building Safety Supervisor Matt Burnell mentions only that they determined the Unpermitted Construction did not qualify as an ADU because there was no kitchen and that it could not be a junior ADU because it was not attached to the main mobile home. (*Id.* at ¶ 24.) The most recent photos provided by the City, taken on 7/2/2024, show some ceiling peeling and stains. (*Id.* at Exhibit X.) The corresponding notice generally states that there are “numerous conditions that are health and safety conditions” but there is also no indication anyone is residing in the Unpermitted Construction at this time. (*Id.* at Exhibit Y.) This evidence is insufficient for the City to meet its burden to show that the drastic remedy of a receivership is warranted.

2.

CASE #	CASE NAME	HEARING NAME
CVME2606860	COUNTY OF RIVERSIDE VS DIMASSA	HEARING ON PRELIMINARY INJUNCTION

Tentative Ruling: Hearing Required.

3.

CASE #	CASE NAME	HEARING NAME
CVME2609939	KULPACA VS FARMERS INSURANCE EXCHANGE	MOTION TO COMPEL ARBITRATION

Tentative Ruling: Grant the petition. Arbitration to be completed within 180 days. Set an OSC re: failure to complete Arbitration on March 23, 2027, with sanctions not to exceed \$1,500. Petitioners demonstrates a valid arbitration agreement pursuant to statute. “Any demand or petition for arbitration shall contain a declaration, under penalty of perjury, stating whether (i) the insured has a workers’ compensation claim; (ii) the claim has proceeded to findings and award or settlement on all issues reasonably contemplated to be determined in that claim; and (iii) if not, what reasons amounting to good cause are grounds for the arbitration to proceed immediately.” (Ins. C. § 11580.2(f).) The demand sent by certified mail indicates under penalty of perjury that there was no worker’s compensation claim, and that the Petitioners suffered injury pursuant to an underinsured motorist. (Reply Decl., Ex. 4.) That is sufficient.